

Him

"Not at this level. It's the time to sell not to buy."

This was when all my learning in the market flashed in front of my eyes in a fraction of a second and screamed- "Aseem! He is an operator". I couldn't believe I was talking to a stock operator. I have always imagined them as evil. I know they hit stoplosses of retail investors, and change the trend. My heart was pumping fast like I would get a heart attack. I gathered my courage and asked him.

Aseem

"Why do you kill the hopes of millions?"

Him

"Hahah! We don't. We just eat your stoploss in breakfast."

Aseem

"How can someone be so heartless? Knowing the fact that innocent people enter markets with a dream. A dream to spend a lavish life, a dream to become financially free, with a dream to have millions in their bank accounts."

Him

"Not my fault! You see, they first surrender themselves by being greedy. The only thing we do is just wait and wait for them to buy high and sell low. They catch the falling knife; we don't."

He said and left in his brand-new Lexus. That was a wake-up call for me- To review all my trading systems and check how I can optimise them to save myself from stoploss hunting. Truly, the market goes against the retail traders. Otherwise, a gentleman like him wouldn't be roaming in a Lexus but a Maruti. Then how do we identify where the big players enter and exit? Chart patterns, price actions, and all these indicators that we generally use, are no different from what they have. How could they be one step ahead of us?

A few years later, after reading numerous books, I learned the hard way. They call it the 'Smart Money Concept'. This concept has its roots in the Western countries where forex trading is quite prevalent. This concept posits that some regions of high liquidity can pivot the market direction completely. Those areas have the high interest of High Net-worth Individuals (HNIs) and institutional traders. These are nothing but people with massive order brackets. Their bracket size, risk appetite, and rewards are more prominent than we generally know and have.

